

Praxis Health Ventures

800 Wellness Way, Minneapolis, MN 55415 | Confidential Internal Document

CUSTOMER CHURN EMERGENCY REVIEW

Period Ending: May 14, 2025 | Report ID: RPT-CRIT-5999192

EXECUTIVE SUMMARY

Severe deterioration across all key metrics. Revenue is down 24% versus prior period, representing the worst quarterly performance in the company's history. Customer churn has accelerated to critical levels. An emergency Board meeting has been convened. The CFO and COO have been placed on performance improvement plans. External turnaround specialists have been engaged pending Board approval.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	149.67	196.93	-24%	CRITICAL
EBITDA Margin (%)	12.7	24.8	-12.1 pts	At Risk
Customer Retention (%)	74.5	93.3	-18.8%	At Risk
New Customer Acquisition	216	335	-119	CRITICAL
Employee Satisfaction	72/100	92/100	-20 pts	At Risk

RECOMMENDED CORRECTIVE ACTIONS

- Accelerate the product roadmap for the top three revenue-generating SKUs, reallocating R&D; budget from lower-priority initiatives to reduce time-to-market by an estimated 3 months.
- Renegotiate payment terms with the top five suppliers, targeting net-60 terms to improve near-term working capital position by an estimated \$4–6M.
- Launch an emergency win-back campaign targeting churned customers from the past 12 months, with tailored pricing incentives pre-approved by the CFO.
- Conduct a zero-based budgeting exercise across all cost centres, with a minimum 10% reduction target for all non-essential operating expenditure in Q4.
- Brief the Board's Audit Committee on the financial restatement risk identified in Q2 and engage external legal counsel to assess exposure.

Prepared by: Reuben Goldstein, Chief Compliance Officer
Approved by: _____ | Date: May 16, 2025

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